IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.11/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF ARRANGEMENT
IN THE MATTER OF
ARTHA REAL ESTATE CORPORATION LIMITED
AND
ARTHA INFRA PROJECTS LIMITED
AND
BENNETT PROPERTY HOLDINGS COMPANY LIMITED

Order delivered on: 25th April, 2018

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Applicant (s): Mr. Saji.P.John, Advocate

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 13.03.2018, 26.03.2018, 10.04.2018, 25.04.2018

ARTHA REAL ESTATE CORPORATION LIMITED
No 110/37, Solitaire Building,
Service Road, Outer Ring Road
Marathahalli,
Bengaluru-560037 .....Applicant Company No. 1

ARTHA INFRA PROJECTS LIMITED
No 110/37, Solitaire Building,
Service Road, Outer Ring Road
Marathahalli,
Bengaluru-560037 .....Applicant Company No. 2

ORDER

This Application is filed jointly on behalf of Applicant Company No. 1 and Applicant Company No. 2 under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying to dispense with convening of meeting of Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company No. 1 and Applicant Company No. 2 for considering the scheme of Arrangement, where under all past or present businesses excluding RERA projects (Demerged Undertaking No.1) of Artha Real Estate Corporation Limited (Applicant

Company No. 1/Demerged Company No. 1) is proposed to be demerged and vested with Bennett Property Holdings Company Limited (Resulting Company) and all past or present businesses excluding Project Serene (Demerged Undertaking No.2) of Artha Infra Projects Limited (Applicant Company No.2/Demerged Company No.2) is proposed to be demerged and vested with Bennett Property Holdings Company Limited (Resulting Company). The Scheme of Arrangement is shown as **Annexure-H**.

The averments made in the Company Application are briefly described hereunder:-

The Applicant Company No. 1 and Applicant Company No. 2 seek an order to dispense with convening of meeting of Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company No. 1 and Applicant Company No. 2 respectively for considering the scheme of Arrangement where under all past or present businesses excluding RERA projects (Demerged Undertaking No.1) of Artha Real Estate Corporation Limited (Applicant Company No. 1/Demerged Company No. 1) is proposed to be demerged and vested with Bennett Property Holdings Company Limited (Resulting Company), and all past or present businesses excluding Project Serene (Demerged Undertaking No.2) of Artha Infra Projects Limited (Applicant Company No.2/Demerged Company No.2) is proposed to be demerged and vested with Bennett Property Holdings Company Limited (Resulting Company) in terms of Scheme of Arrangement shown as **Annexure-H**.

Application has been filed jointly by Applicant Company No. 1 and Applicant Company No. 2 stating that the Applicant Company No. 1/Demerged Company No.1 was incorporated on 8th February, 2008 under the name and style of Arthaeon Financial Services Limited with Registrar of Companies, Maharashtra. Subsequently, the name of the company was changed to Artha Financial Services Limited on 26th December, 2008. Further on, the name of the company was changed to Artha Real Estate Corporation Limited on 13th June, 2014. Thereafter, by a special resolution the company sought to change the place of its registered office from Maharashtra to Karnataka and such alternation in change of State was approved by the Regional Director (Western Region) Mumbai dated 10th September, 2015 which was registered by the Registrar of Companies, Bengaluru in Karnataka on March 11, 2016. The Registered office of the Applicant Company No. 1/Demerged Company No. 1 is at No 110/37, Solitaire Building, Service Road, Outer Ring Road, Marathahalli, Bengaluru-560037.

The main objects of the Applicant Company No. 1/Demerged Company No. 1 is to carry on trade or business in India and abroad as contractors, builders, land and estate agents, land developers, surveyors, consulting engineers, decorators, house owners and house seller, estate manager and to construct, repair, develop, maintain road, bridges, and to acquire flats and offices and sell them and to acquire land and building on leasehold or freehold, agricultural or non-agricultural, interest in land/TDR and to build, develop, construct on those lands, residential, commercial or industrial buildings and sell the same on ownership basis or to transfer such buildings to societies, companies or any other person and to undertake and execute civil, mechanical, electrical and structural works contracts and sub-contracts in all their respective branches. The copy of Memorandum and Articles of Association of the Applicant Company No. 1/Demerged Company No.1 is shown as **Annexure-A.**

The latest authorised share capital of the Applicant Company No. 1/Demerged Company No.1 is Rs. 2,00,00,00,000/- divided into 150,000,000 Equity Shares of Rs.10/- each and 5,00,00,000 0.01% Optionally Fully Convertible Redeemable Preference Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Applicant Company No. 1/Demerged Company No.1 Company is Rs.1,38,05,03,000/- divided into 103,550,300 Equity Shares of Rs.10/- each and 34,500,000 0.01% Optionally Fully Convertible Redeemable Preference Shares of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 of the Applicant Company No. 1/Demerged Company No.1 is shown as **Annexure-B**.

It is further stated that, the Board of Directors of the Applicant Company No. 1/Demerged Company No.1 have approved and adopted a Scheme of Arrangement at their meeting held on 9th February, 2018by virtue of which all past or present businesses excluding RERA projects (Demerged Undertaking No.1) of Artha Real Estate Corporation Limited (Applicant Company No. 1/Demerged Company No. 1) is proposed to be demerged and vested with Bennett Property Holdings Company Limited (Resulting Company)subject to confirmation. Copy of the Board Resolution of Applicant Company No. 1/Demerged Company No.1 dated 9th February, 2018 approving and adopting the Scheme of Arrangement are shown as **Annexure-G.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No. 1/Demerged Company No. 1 has certified that there are 7 Equity Shareholders and 1 Preference Shareholder as on

31st January, 2018 of the Applicant Company No. 1/Demerged Company No. 1 shown as **Annexure-J.**

It is further stated that there are 2 Secured Creditors in the Applicant Company No. 1/Demerged Company No. 1 as on 31st December, 2017 as certified by the Chartered Accountant shown as **Annexure-L.**

It is further stated that there are 349 Unsecured Creditors in the Applicant Company No. 1/ Demerged Company No. 1 as on 31st December, 2017 as certified by the Chartered Accountant shown as **Annexure-N.**

We have seen the consent affidavits filed by 7 Equity Shareholders and 1 Preference Shareholder of Applicant Company No. 1/Demerged Company No. 1 i.e., (i) Bennett Property Holdings Company Limited, holding 103,549,700 Equity Shares and 34,500,000 Optionally Fully Convertible Redeemable Preference Shares, constituting 99.99% of the paid-up equity share capital and 100% of the paid-up preference share capital,(ii) Mr. Giridhar Kumar holding 100 equity shares jointly with Bennett Property Holdings Company Limited, constituting negligible amount of the paid-up equity share capital, (iii)Mr. Raj Kumar Agarwal holding 100 equity shares jointly with Bennett Property Holdings Company Limited, constituting negligible amount of the paid-up equity share capital, (iv) Mr. Srivathsan Sundarraman holding 100 equity shares jointly with Bennett Property Holdings Company Limited, constituting negligible amount of the paid-up equity share capital, (v) Mr. Srinivasan Thangavel holding 100 equity shares jointly with Bennett Property Holdings Company Limited, constituting negligible amount of the paid-up equity share capital, (vi) Mr. Ramani Chandrashekhar holding 100 equity shares jointly with Bennett Property Holdings Company Limited, constituting negligible amount of the paid-up equity share capital, and (vii) Mr. Venkatesh Vaidyanathan holding 100 equity shares jointly with Bennett Property Holdings Company Limited, constituting negligible amount of the paid-up equity share capital, shown as **Annexure-J.**

We have seen the consent affidavits filed by 2 Secured Creditors of Applicant Company No. 1/ Demerged Company No. 1 i.e., (i) Aditya Birla Finance Limited for an amount of Rs. 158,161,571/- and (ii) Bennett Coleman & Company Limited for an amount of Rs. 750,000,000/-shown as **Annexure-L.**

We have seen 35 consent affidavits filed by Unsecured Creditors of Applicant Company No. 1/ Demerged Company No. 1 amounting to 97.49% shown as **Annexure-N** and filed with **memo dated 26 March, 2018.**

Furthermore, Application has been filed jointly by Applicant Company No. 1 and Applicant Company No. 2 stating that the Applicant Company No. 2/Demerged Company No.2 was incorporated on 30th July, 2007 under the name and style of TOM Insurance Broking Services Limited under the jurisdiction of the Registrar of Companies, Maharashtra. Subsequently, the name was changed to 'Artha Insurance Broking Services Limited' on 30th September, 2008 and then again it was changed to Artha Infra Projects Limited on March 16, 2015. Thereafter, the Applicant Company No. 2 shifted its registered office from the State of Maharashtra to the State of Karnataka pursuant to the order issued by the Regional Director (Western Region) Mumbai dated September 10, 2015 which was registered by the Registrar of Companies, Bengaluru on October 16, 2015. The Registered office of the Applicant Company No. 2/Demerged Company No. 2 is at No 110/37, Solitaire Building, Service Road, Outer Ring Road, Marathahalli, Bengaluru-560037.

The main objects of the Applicant Company No. 2/Demerged Company No. 2 is to carry on the business of purchase, construct, develop, take on lease or tenancy or in exchange, hire, license, take options over or otherwise acquire any estate, land, buildings, amusement parks, roads, bridges, dams, other assets or acquired any other interest, rights in any part or portion thereof, which is necessary or convenient for the business of the Company and to sell, lease, mortgage, hypothecate, grant license or otherwise dispose or grant rights over any immovable property or part thereof belonging to the Company and to carry on the business as land, property and estate agents, intermediaries, estate managers, care takers and to arrange or undertake sale, purchase of and to manage land, buildings and other property and provide all other services in connection with the purchase, sale, lease and acquisition of any land buildings and other properties and to set up internet portal dedicated to real estate in India and abroad and to establish, construct, erect, build, buy, hire or otherwise equip, install, purchase, lease, take over, rebuild, reconstruct, alter, engage, repair, renovate, refurnish, improve, operate, manage, supervise, control, regulate, maintain, sell and otherwise dispose of any immovable property or part thereof in India and abroad. The copy of Memorandum and Articles of Association of the Applicant Company No. 2/Demerged Company No.2 is shown as **Annexure-C.**

The latest authorised share capital of the Applicant Company No. 2/Demerged Company No.2 is Rs. 50,00,000/- divided into 5,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Applicant Company No. 2/Demerged Company No.2 is Rs. 50,00,000/- divided into 5,00,000 Equity Shares of Rs.10/- each.. The Audited balance sheet as on 31st March, 2017 of the Applicant Company No. 1/Demerged Company No.1 is shown as **Annexure-D**.

It is further stated that, the Board of Directors of the Applicant Company No. 2/Demerged Company No.2 have approved and adopted a Scheme of Arrangement at their meeting held on 9th February, 2018 by virtue of and all past or present businesses excluding Project Serene (Demerged Undertaking No.2) of Artha Infra Projects Limited (Applicant Company No.2/Demerged Company No.2) is proposed to be demerged and vested with Bennett Property Holdings Company Limited (Resulting Company)subject to confirmation. Copy of the Board Resolution of Applicant Company No. 2/Demerged Company No.2 dated 9th February, 2018 approving and adopting the Scheme of Arrangement are shown as **Annexure-G**.

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No. 2/Demerged Company No. 2 has certified that there are 7 Equity Shareholders as on 31stJanuary, 2018 of the Applicant Company No. 2/Demerged Company No. 2 shown as **Annexure-K**.

It is further stated that there is 1 Secured Creditor in the Applicant Company No. 2/Demerged Company No. 2 as on 31st December, 2017 as certified by the Chartered Accountant shown as **Annexure-M**.

It is further stated that there are 19 Unsecured Creditors in the Applicant Company No. 1/ Demerged Company No. 1 as on 31st December, 2017 as certified by the Chartered Accountant shown as **Annexure-P.**

We have seen the consent affidavits filed by 7 Equity Shareholders of Applicant Company No. 2/Demerged Company No. 2 i.e., (i) Artha Real Estate Corporation Limited, holding 499,994 Equity Shares constituting 99.99% of the paid-up share capital, (ii) Mr. Giridhar Kumar holding 1 equity share jointly with Artha Real Estate Corporation Limited, constituting negligible amount of the paid-up equity share capital, (iii)Mr. Raj Kumar Agarwal holding 1 equity share jointly with Artha Real Estate Corporation Limited, constituting negligible amount of the paid-up equity share capital, (iv) Mr. Srivathsan

Sundarraman holding 1 equity share jointly with Artha Real Estate Corporation Limited, constituting negligible amount of the paid-up equity share capital, (v) Mr. Srinivasan Thangavel holding 1 equity share jointly with Artha Real Estate Corporation Limited, constituting negligible amount of the paid-up equity share capital, (vi) Mr. Ramani Chandrashekhar holding 1 equity share jointly with Artha Real Estate Corporation Limited, constituting negligible amount of the paid-up equity share capital, and(vii) Mr. Venkatesh Vaidyanathan holding 1 equity share jointly with Artha Real Estate Corporation Limited, constituting negligible amount of the paid-up equity share capital, constituting negligible amount of the paid-up equity share capital, shown as **Annexure-K**.

We have seen the consent affidavit filed by 1 Secured Creditor of Applicant Company No. 2/ Demerged Company No. 2 i.e., Aditya Birla Finance Limited shown as **Annexure-M** and filed with **memo dated 26 March, 2018**.

We have seen 4 consent affidavits filed by Unsecured Creditors of Applicant Company No. 2/ Demerged Company No. 1 amounting to 98.93% of the total unsecured loan shown as **Annexure-P** and **memo dated 26 March, 2018**.

It is further averred in the scheme that the Board of Directors of the Demerged Company No.1, Demerged Company No.2 and Resulting Company are of the opinion that the arrangement would result in following benefits:

1. The overall demerger will enable the Demerged Company No.1 and Demerged Company No.2 to focus on the projects regulated by RERA and to create an independent market for the same from a long-term perspective. The demerger shall further enable the Demerged Company No.1, Demerged Company No.2 to focus and enhance its residual core business operations by streamlining operations and cutting costs and consequently, ensuring better and more efficient management control;
2. Resulting Company will concentrate its resources towards development and management of Demerged Undertakings, and thus, develop and operate them efficiently;

   The demerger will enable Demerged Company No.1, Demerged Company No.2 and Resulting Company, to productively utilize their respective resources and achieve cost and operational efficiencies while creating a separate market for each Project for future monetization. Further, this will

enable Demerged Company No.1, Demerged Company No.2 and Resulting Company to pool financial and managerial resources to concentrate on their respective business activities;

3. The demerger will segregate the assets with different profiles between the legal entities so that the specific risks of the assets retained with a legal entity are limited to that entity alone.

The Advocate for the Applicant Companies has filed a memo dated 12th April, 2018 inter alia stating that with regard to the variation of amount a per the list of creditors issued by the Chartered Accountant and the individual consent affidavits given by creditors, that some of the Creditors have already received the amount due as per Books & Accounts and that the list of creditors issued by the Chartered Accountant is in terms of the Books and Accounts of Applicant Companies.

The Applicant Company No. 1 is seeking an order to dispense with convening of meetings of Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company No.1 on the ground that, there are 7 Equity shareholders, 1 Preference Shareholder, 2 Secured Creditors and 139 Unsecured Creditors in Applicant Company No. 1/ Demerged Company No. 1 and that all the Shareholders, Secured Creditors and 97.49% of Unsecured Creditors of Applicant Company No. 1/ Demerged Company No. 1 have given their consent by way of affidavits for the proposed scheme of arrangement.

The Applicant Company No. 2 is seeking an order to dispense with convening of meetings of Shareholders, 1 Secured Creditor and Unsecured Creditors of the Applicant Company on the ground that, there are 7 Equity shareholders, 1 Secured Creditor and 19 Unsecured Creditors in Applicant Company No. 2/ Demerged Company No. 2 and that all the Shareholders, 1 Secured Creditor and 98.93% of Unsecured Creditors of Applicant Company No. 2/ Demerged Company No. 2 have given their consent by way of affidavits for the proposed scheme of arrangement.

We have heard the Counsel appearing for the Applicant Companies. The Application filed by the Applicant Companies which are the Demerged Companies for dispensing with the convening of meetings of Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies respectively for approving the Scheme of Arrangement, where under all past or present businesses excluding RERA projects (Demerged Undertaking No.1) of Artha Real Estate Corporation Limited (Applicant Company No. 1/Demerged Company No.

1) is proposed to be demerged and vested with Bennett Property Holdings Company Limited (Resulting Company) and all past or present businesses excluding Project Serene (Demerged Undertaking No.2) of Artha Infra Projects Limited (Applicant Company No.2/Demerged Company No.2) is proposed to be demerged and vested with Bennett Property Holdings Company Limited (Resulting Company) in terms of Scheme of Arrangement shown as **Annexure-H.**

In the result, the application is disposed off and holding of meeting of the Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies is dispensed with. In any eventuality when the Applicant Companies approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the Scheme of Arrangement to put forth their contentions before the Tribunal.

25/4/2018

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL